inflation-targeting framework, mandating RBI to maintain consumer price inflation in the corridor of 2–6 per cent.

Inflation-targeting frameworks succeeded. Other factors like ageing of societies leading to demand stagnation, increase in production of goods and services making supply outpace demand, and increase in productivity and cost of services thanks to digitalization also helped. These days, inflation is not a major global concern, barring a few rogue states. In fact, the lack of inflation is a concern in some countries.

Overweighted Food Creates Impression of High and Volatile Inflation in India

The wholesale price index number of manufactured products in India rose from 121.9 in 1972–73 to 270.6 in 1981–82, a simple average of 14.87 per cent a year. The same wholesale price index number in the next series rose from 103.5 in 1982–83 to 243.2 in 1993–94, at the rate of 11.64 per cent. Inflation in manufactured products was quite high in the 1970s and 1980s.

Moderation started somewhere in the early 1990s. The wholesale index number (1993–94 base series) rose from 112.3 in 1994–95 to 166.3 in 2004–05, registering a simple annual increase of 4.91 per cent. The same type of moderation was noticed in the next series (base 2004–05) when the wholesale price index rose from 102.4 in 2005–06 to 139.5 in 2011–12, recording a rise of 5.3 per cent annually. Inflation in manufactured products collapsed in the 2010s with the wholesale price index increasing from 105.3 in 2012–13 to 118.3 in 2019–20, an annual increase of only 1.62 per cent.

India is still young. There is every reason to believe that consumption and investment demand in India must rise in double digits. However, global supply excess in many commodities and scaling up of production capacities in many manufactured goods have seen shortages of manufactured products disappear. For manufactured products, there is no real inflation issue in the country.